S.No.9

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH – 1
VC AND PHYSCIAL (HYBRID) MODE
ATTENDANCE CUM ORDER SHEET OF THE HEARING HELD ON
26-11-2024 AT **10:30 AM**

CA (CAA) No. 29/230/HDB/2024
u/s. 230 of Companies Act, 2013

IN THE MATTER OF:
M/s. Anasia Lab Pvt Ltd (Transferor Co.,) & M/s. Hazelo Lab Pvt Ltd (Transferee Co.,) **…Petitioner**

C O R A M:-
DR. VENKATA RAMAKRISHNA BADARINATH NANDULA, HON'BLE MEMBER (JUDICIAL)
SH. CHARAN SINGH, HON'BLE MEMBER (TECHNICAL)

O R D E R

Orders pronounced. In the result, **CA (CAA) No. 29/230/HDB/2024 is allowed,** subject to the directions mentioned in the order.

Sd/-
MEMBER (T)

Sd/-
MEMBER (J)

Swapna

IN THE NATIONAL COMPANY LAW TRIBUNAL

HYDERABAD BENCH - 1, HYDERABAD

CA (CAA) No. 29/230/HDB/2024

U/s 230 to 232 of the Companies Act, 2013

IN THE MATTER OF

ANASIA LAB PRIVATE LIMITED
(CIN: U24304TG2020PTC141061)
(TRANSFEROR COMPANY)
WITH
HAZELO LAB PRIVATE LIMITED
(CIN: U24110TG2015PTC098450)
(TRANSFEREE COMPANY)
AND
THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Anasia Lab Private Limited

Having registered office at SY No.247 & 248, Dothigudem (V) Jiblakpally, B. Pochampally (M) Nalgonda 508284, Telangana. Represented by its Director Mr. M. Kesireddy Subhas Chander Reddy

…. Applicant No. 1/ Transferor Company

Hazelo Lab Private Limited,

Having registered office at SY No.247 & 248 Dothigudem (V), B. Pochampally (M), Chityal, Nalgonda -508284, Telangana, India Represented by its Director Mr. M. Kesireddy Subhas Chander

…. Applicant No. 2/ Transferee Company

DATE OF ORDER: 26.11.2024

CORAM: -

Dr. Venkata Ramakrishna Badarinath Nandula, Hon'ble Member (Judicial)
Shri Charan Singh, Hon'ble Member (Technical)

COUNSELS / PARTIES PRESENT

For the Applicants: Mr. Vivek Surana, Counsel

PER BENCH

1. This is an Application filed by the Applicant Companies under Sections 230 to 232 read with Companies (Compromises, Arrangements and Amalgamations), Rules 2016 by inter-alia seeking to dispense with the requirement of holding the meeting of the equity shareholders and Secured Creditors of Applicant No.1 and Applicant No.2 Companies, dispensing with the meeting of Unsecured Creditors of the of the Applicant No.1 Company and convening of the meeting of the Unsecured Creditors (Sundry Creditors) of the Applicant No.2 Company.

2. The averments made in the application are briefly described as under:

a. The Applicant No.1/ Transferor Company was incorporated under the name and style of "Anasia Lab Private Limited" in the State of Telangana on 23.06.2020, under the provisions of Companies Act, 2013. The Present Corporate Identity Number (CIN) of the Company is U24304TG2020PTC141061.

b. The main objects of the Applicant No.1/Transferor Company are to carry on the business of manufactures, sell, deal, export and import in all types of Chemicals, Drugs, Pharmaceuticals, Pesticides and Dyestuffs and other intermediates and to carry on the research and development activities to develop new products and substitute for imported products and to develop and maintain testing house and laboratory for own use and for others etc., A copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Applicant No.1/Transferor Company are annexed **as Annexure 4 and 5 at page 182 to 196** to the application.

c. The Authorised Share Capital of the Transferor Company is Rs.1,00,000/- (Rupees One Lakh only) divided into 10,000 (Ten

Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each. The Present issued, subscribed and paid-up share capital of the Transferor Company is Rs. 1,00,000/- (Rupees One Lakh only) divided into 10,000 (Ten Thousand) fully paid up Equity Shares of Rs.10/- (Rupees Ten only) each.

d. The financial summary of the Applicant No.1/Transferor Company as on 31.03.2024 is given below:

Particulars	**Amount Rs. in Lakhs**
EQUITY AND LIABILITIES:	
Share Capital	1.00
Other Equity	4.74
Non-Current Liabilities	
Financial Liabilities	
Borrowings	11100
Lease Liabilities	20.84
Current Liabilities	
Financial Liabilities	

Lease Liabilities	0.30
Other Financial Liabilities	7.28
Other Current Liabilities	78.67
Current Tax Liabilities	0.63
TOTAL	**11213.46**
ASSETS:	
Non-Current Assets	
Property, Plant and Equipment	--
Right of Use assets	17.94
Capital Work in progress	10075.92
Other tangible assets	--
Financial Assets	--
Other non-current assets	11.34
Income Tax assets	--
Current Assets	
Financial Assets	
Trade receivables	-
Cash and Cash equivalents	98.42

Bank Balance other than above	48.15
Financial Assets	--
Other Current Assets	961.69
TOTAL	**11213.46**

Copy of the audited Financial Statements as at 31.03.2024 of the Applicant No.1/Transferor Company is annexed as **Annexure 6 at page 197 to 247** of the Application.

e. The Applicant No.2/Transferee Company viz., **Hazelo Lab Private Limited (Transferee Company)** was incorporated as a Private Limited Company under the name and style of "Hazelo Lab Private Limited" in the State of Telangana on 13.04.2015, under the provisions of Companies Act, 2013. The Present Corporate Identity Number (CIN) of the Company is U24110TG2015PTC098450.

f. The main objects of the Applicant No.2/Transferee Company are to carry on in India or elsewhere the business to manufacture, produce, process, prepare, treat, disinfect, compound, formulate, mix, concentrate, pack, repack, refine,

add, remove, preserve, grade, freeze, distillate, boil, sterilize, improve, extract, buy, sell, import, export, store, forward, distribute, dispose, develop, research, discover, manipulate, market, supply and to act as agent, broker, representative, consultant, stockiest, liasioner, middleman, job worker or otherwise to deal in all types, descriptions, specifications, strengths and applications of pharmaceutical and chemical products of medicaments in all its branches such as allopathic, ayurvedic, homeopathic, herbal, unani, siddha used for treatment, cure and healthcare of human beings and animals including, basic drugs, intermediates, tonics, antibiotics, enzymes, steroids, vitamins, hormones, biological &immunological chemicals, contraceptives, waddings, gauzes, adhesives, ligatures, vaccines, toxins, yeasts, medical gases, diagnostic agents, oils and tinctures; medical products in all forms such as capsules, tablets, powders, ointments, syrups, injectibles, pills, fluids, granules, sprayers, inhalers, mineral waters, droppers, removers, veterinary medicines, poultry medicines, herbal products, by-products, intermediates,

residues, mixtures, compounds, and other allied goods. A copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Applicant No.2/Transferee Company is annexed as **Annexure 1 and 2 at 23 to 49** of the Application.

g. The Authorised Share Capital of the Transferee Company is Rs. 5,00,00,000/- (Rupees Five Crores only) divided into 50,00,000 (Fifty Lakhs) Equity Shares of Rs.10/- (Rupees Ten only) each. The Present issued, subscribed and paid-up share capital of the Transferee Company is Rs. 5,00,00,000/- (Rupees Five Crores only) divided into 50,00,000 (Fifty Lakhs) Equity Shares of Rs.10/- (Rupees Ten only) each.

h. The financial summary of the Applicant No.2/Transferee Company as on 31.03.2024 is given below:

Particulars	**Amount Rs. in Lakhs**
EQUITY AND LIABILITIES:	
Share Capital	500.00
Reserves and Surplus	38084.43
Non-Current Liabilities	38584.43

Long term borrowings	--
provisions	30.89
Deferred Tax liabilities (net)	587.56
Current Liabilities	
Short term borrowings	4101.36
Trade payable	7184.97
Other financial liabilities	267.07
Other Current liabilities	50.92
Provisions	4.89
TOTAL	**50812.10**
ASSETS:	
Non-Current Assets	
Property, Plant and Equipment	16368.31
Capital work in progress	262.96
Other intangible assets	0.48
Financial Assets	
Investments	1.00
Loan	15100.00

Other Financial Assets	137.80
Other non-current Assets	825.54
Current Assets	
Inventories	4471.14
Trade receivables	12727.29
Cash and Cash Equivalents	14.37
Bank Balance other than above	109.66
Other Financial Assets	13.06
Other Current Assets	780.47
TOTAL	**50812.10**

Copy of the financial statements of the Applicant No.2/Transferee as on 31.03.2024 is annexed as **Annexure 3 at page 50 to 181** to the Application of Applicant No.2/Transferee Company.

3. The Board of Directors of the Applicant Companies in their meeting held on 23.09.2024 have approved the Scheme of Amalgamation, subject to the approval/directions of this Hon'ble Tribunal, and such other approvals as may be required. Copy of the Scheme of

Amalgamation is annexed as **Annexure -7 at page 248 to 275** to the Application. Certified copy of the Board Resolution of Transferor Company and Transferee Company is annexed as **Annexure - 10 & 11** at **page 280 to 283**.

4. RATIONALE, OBJECTIVE & PURPOSE OF THE SCHEME

a) The Scheme is presented under sections 230 – 232 of the Companies Act, 2013 and it provides for amalgamation of Transferor Company into Transferee Company, resulting in consolidation of business in one entity and thereby strengthening the position of the amalgamated entity by enabling it to harness and optimize the synergies of equipments, land, money and human resources, which is in the best interest of both the Companies and their respective shareholders. The Transferor Company is a wholly owned subsidiary of the Transferee Company.

b) The proposed amalgamation will reduce administrative costs and also result in reduction of overheads and other expenses, reduction in administrative and procedural work, enable the amalgamated company to effect internal economies and optimize profitability as also to reduce administrative inefficiencies by reducing duplication of functions.

c) The proposed scheme of amalgamation is with a view to: -

- Simplify the corporate structure

- Integrate the operations
- Achieve operational and management efficiency.

d) Since both, Anasia Lab Private Limited (Transferor Company) and Hazelo Lab Private Limited (Transferee Company) are pursuing same and similar business, the amalgamation would prove highly advantageous in achieving economies of scale and cost reduction.

e) In order to achieve the objectives as mentioned in clause (a) to (d) above, the Boards of Directors of the Transferor Company and the Transferee Company have proposed to consolidate the Transferor Company and the Transferee Company into a Single Company by conveniently combining and amalgamating the businesses carried on by both the Companies.

f) The Scheme shall be beneficial and in the best interests of the shareholders, creditors (if any) and employees of the Transferor Company, the Transferee Company and to the interest of public at large and all concerned.

Shareholders and Creditors

5. It is averred that the Applicant No.1/Transferor Company has two shareholders. Certificate of Practicing Company Secretary, M/s. Vivek Surana & Associates certifying the list of shareholders of the Applicant No.1/Transferor Company is annexed to the memo dated 16.10.2024. Both the shareholders of the Applicant No.1/Transferor

Company have given their consent. Copy of the consent Affidavits of Mr. Rapolu Raji Reddy (shareholder) of Applicant No.1/Transferor Company is annexed as **Annexure 13 at page 286** to the Application. Copy of the Affidavit of M/s. Hazelo Lab Private Limited (shareholder) of Applicant No.1/Transferor Company is annexed to the Memo dated 16.10.2024.

6. It is averred that the Applicant No.1/Transferor Company does not have any Secured Creditor and Unsecured Creditors. Certificate of Chartered Accountant, M.V. Narayana Reddy & Co., certifying that there are no Secured Creditors and Unsecured Creditors in Applicant No.1/Transferor Company is annexed as **Annexure 17 at page 305 to 306** to the Application.

7. It is averred that the Applicant No.2/Transferee Company has three shareholders. Certificate of Practicing Company Secretary, M/s. Vivek Surana & Associates certifying the list of shareholders of the Applicant No.2/Transferee Company is annexed as **Annexure 14 at page 287** to the Application. All the shareholders of the Applicant No.2/Transferee Company have given their consent. Copies of the

Affidavits of shareholders of Applicant No.2/Transferee Company are annexed as **Annexure 15 at page 288 to 290** to the Application.

8. It is averred that the Applicant No.2/Transferee Company has one Secured Creditors to the tune of Rs.47,61,14,216/-. The Transferee Company has 401 Unsecured Sundry Creditors to the tune of Rs. 83,90,08,319/-. Certificate of Chartered Accountant M/s M.V. Narayana Reddy & Co., certifying the list of Secured Creditors and Unsecured Creditors of Applicant No.2/Transferee Company is annexed as **Annexure 16 at page 291 to 304** to the Application. The Only Secured Creditors of the Transferee Company have given its consent. Consent Affidavit of the Secured Creditor of the Transferee Company is annexed as **Annexure 15 at page 247 to 250**. Thus, Applicant No. 2/Transferee Company seeks to convene the meeting of its Unsecured Sundry Creditors.

9. COMPLIANCE OF ACCOUNTING STANDARD

It is averred that the Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the accounting standards prescribed under Section 133. Certificates under Section 133 of the

Companies Act, 2013 issued by Statutory Auditors of the Applicant Companies is annexed as **Annexure-8 and 9 at page 276 to 279.**

10. CONSIDERATION

a. As Transferor Company is a wholly owned subsidiary of the Transferee Company, the entire issued, subscribed and paid up share capital of Transferor Company is held by the Transferee Company, through itself and its nominees. Upon this Scheme becoming effective, Transferee Company would not be required to issue and allot any shares to the shareholders of Transferor Company. The entire paid up Capital held by the Transferee company in the capital of Transferor company will also stand cancelled upon the receipt of approval orders of the Hon'ble Regional Director and the scheme becoming effective.

b. Upon the Scheme becoming effective, no shares of the Transferee Company shall be allotted in lieu or exchange of the holding of the wholly owned subsidiary of the Transferee Company in the Transferor Company and the stated capital/issued and paid-up capital of the Transferor Company shall stand cancelled/extinguished on the Effective Date. The said cancellation of existing share capital of the Transferor Company shall be affected as an integral part of this Scheme without any further act or deed or instrument by the Transferee Company.

c. Further, upon the Scheme becoming effective, all the equity shares of the Transferor Company held by the Transferee Company shall stand cancelled and the investments of the Transferee Company as appearing on the Asset side of the Balance Sheet of the Transferee Company shall stand cancelled to the extent of book value of the equity shares of the Transferor Company. The difference, if any, between the amount of share capital of the Transferor Company and the investments in the share capital of the Transferor Company as appearing in the books of accounts of the Transferee Company shall be adjusted in reserves of the Transferee Company.

11. DECLARATION BY THE APPLICANT COMPANIES

No petition under Section 241 or 242 of the Companies Act, 2013, has been filed against the Applicant Companies and there has been no material change in the affairs of the Applicant Companies, except for what was done in the normal course of business.

There are no proceedings pending under Section 210 to 227 of Companies Act, 2013, against the Applicant Companies.

The Scheme of Amalgamation between Anasia Lab Private Limited (Transferor Company) and Hazelo Lab Private Limited (Transferee Company) and their respective Shareholders and Creditors does not

have an adverse effect on any of the shareholders or creditors or other stakeholders of the Applicant Companies in any manner whatsoever.

12. We have heard the Learned Counsel for Applicant Companies and perused the documents filed. This is the first stage joint Application seeking for dispensation of meetings of Shareholders of Applicant Companies, dispense with the meeting of Secured Creditors and unsecured creditors of Applicant No.1/Transferor Company, dispensation of meeting of Secured Creditors of the Applicant No.2/Transferee Company and convening of the meeting of the Unsecured Creditors of Applicant No.2/Transferee Company for the Scheme of Amalgamation.

Section 230 (i) of Companies Act, 2013 contemplates holding of meeting unless 90% of the Creditors gave consent by way of Affidavits to dispense with meetings. In this case, the shareholders, secured creditors and un secured creditors of the Applicant Company have not given consent by way of Affidavits to dispense with meetings Applicant Companies. Section 230(9) of Companies Act, 2013 provides that 90% of the Creditors to give consent for dispensing with convening of meeting.

The proposed scheme in question prima facie satisfies fundamental requirements for its sanction, subject to approval of this Tribunal. The Applicant Companies stated to be following all provisions of

Companies Act, 2013, and rules made thereunder. In any case, dispensing with meeting in question would not deprive any aggrieved party to approach this Tribunal at any point of time, when the approval of scheme in question finally come for consideration

Therefore, at request of the Applicant Companies the following order is passed.

ORDER

After hearing the Learned Counsel and after perusing the documents filed, we here by pass the following order:

1. Dispense with convening the meeting of the Shareholders of the Transferor Company and Transferee Company.
2. Dispense with the meetings of Secured Creditors and Unsecured Creditors of Transferor Company.
3. The Meeting of Unsecured Creditors of the Applicant No.2/Transferee Company will be held on Friday, 17th January, 2025 at 11.30 A.M. at #7-2-A2, Industrial Estate, Sanathnagar, Hyderabad, 500018 and appoint Mr. Naresh Kumar Sangam, Advocate (Mobile No 9000666072) as Chairperson and Ms.Kushbu Vijayvargi, PCS (Mobile No 9652806575) as

Scrutinizer of the aforesaid meeting. The remuneration of Chairperson is fixed at Rs.1,50,000/- and that of the scrutinizer is fixed at Rs. 1,00,000/- for above meeting.

4. The quorum be fixed as per Section 103 of Companies Act, 2013.

5. The Advertisement of notice of meeting of Unsecured Creditors of Applicant No.2/Transferee Company in accordance with rule 7 shall be published in "Business Standard", English Daily, Hyderabad Edition and one in "Nava Telangana" Telugu Daily, Hyderabad Edition.

6. The Unsecured Creditors whose meetings are convened can exercise their votes at their respective meetings either person or by proxy or by authorized representative.

7. The Applicant No.2/Transferee Company or its authorized Signatory is directed to issue notices (s) to its Unsecured Creditors whose meeting is convened, by Registered Post/ Courier/Ordinary Post/ Registered email to their last known address 30 days before the said meetings as per Form No. CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuring convening the said meeting of the Unsecured

Creditors of Applicant No.2/Transferee Company. Further directed to intimate day, date and time, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

8. The Applicant Companies to serve notices upon the Statutory Authorities and Sectoral Regulators pursuant to Section 230 (5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 if no response is received by the Tribunal from Statutory Authorities or Sectoral Regulators within 30 days of the date of receipt of the notice, it will be presumed that the Statutory Authorities or Sectoral Regulators has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

9. The Chairperson shall have all powers under the Companies (Compromises, Arrangement and Amalgamation) Rules, 2016 in relation to the conduct of the meetings (s) including for deciding procedural questions that may arise before or at any adjournment

thereof or any other matter including an amendment to the Scheme or resolution, if any, proposed at the meeting by any person (s).

10. The voting shall be in person or by proxy or authorized representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016.

11. The Chairperson to file affidavit within 7 days before the date of the said meeting to this Tribunal that the direction regarding convening and issuance of notice (s) to all the necessary parties have been duly complied with in conformity with the relevant provisions of the Companies Act, 2013 R/w Companies (Compromise, Arrangement and Amalgamation) Rules, 2016. The Chairman shall report the conclusion of the aforesaid meetings within 10 days from the date of such meetings as per Rule 14 of

the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

12. Accordingly, the Company Application C.A. (CAA) No. 29/230/HDB/2024 is allowed and the same is disposed.

-SD-

Charan Singh
Member Technical

-SD-

Dr. Venkata Ramakrishna Badarinath Nandula
Member Judicial

Pavani